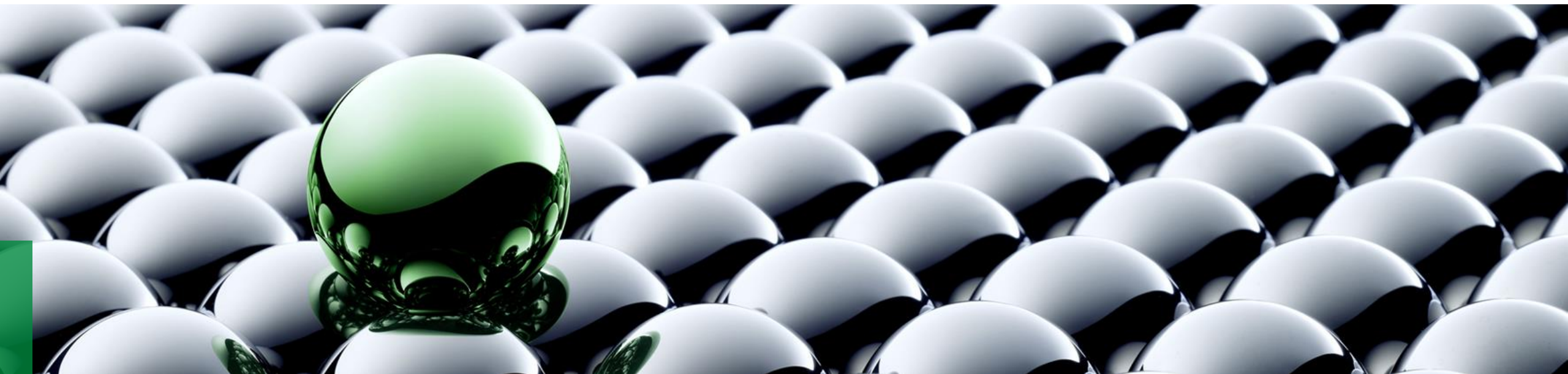




Schaeffler AG Investor Presentation

Klaus Rosenfeld, CEO Schaeffler Group
Marc McGrath, CEO Americas

May 17 & 20, 2021

We pioneer motion

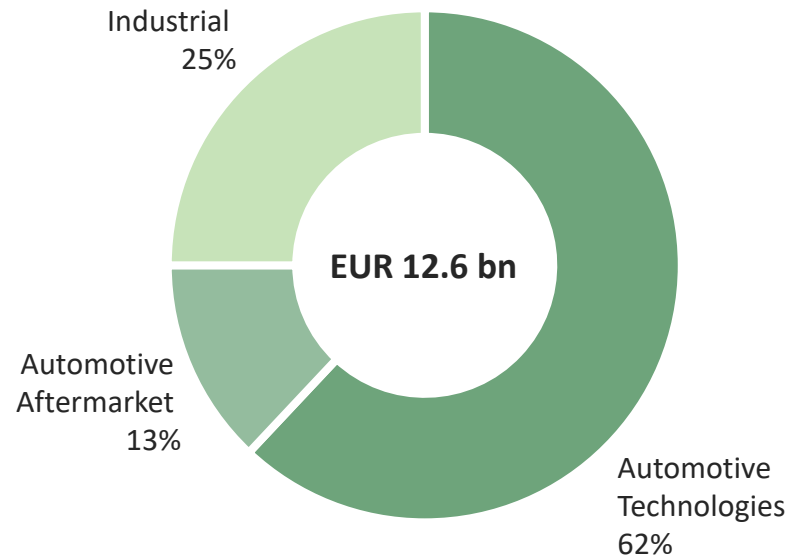
Agenda

- 1 Schaeffler Group Q1/2021 Financials
- 2 Schaeffler Group Q1/2021 Business Highlights & Deep Dive Americas Region

Schaeffler Group at a glance – We are an Automotive and Industrial supplier

3 Divisions

In % of Sales 2020

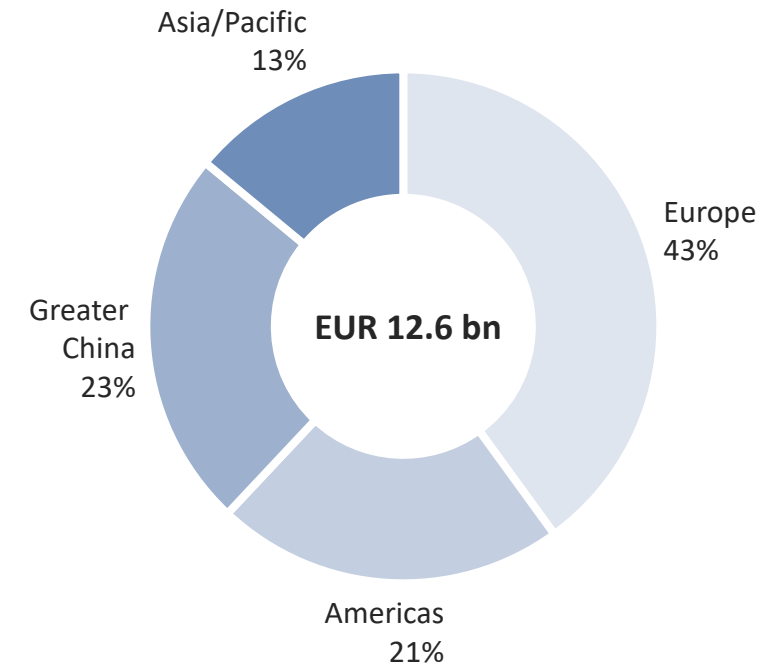


Schaeffler Group

- Leading position in technology and innovation
- Diversified customer base serving 10 customer sectors
- Market leading product offering from components, systems to services
- Global footprint with 75 plants and 20 R&D centers
- ~84,000 employees in more than 50 countries
- Highly experienced leadership team with focus on execution

4 Regions

In % of Sales 2020



Well-diversified Automotive and Industrial supplier with global reach and synergistic businesses

Roadmap 2025 – Building on our strong foundations and innovating as diversified Automotive and Industrial Group

Automotive Technologies

Mature

We **HARVEST** with our enabler-Technologies

We **EXIT/DIVEST** expiring businesses & consolidate our footprint

New

We **BUILD** Competencies in Power Electronics & Hydrogen

We **GROW** in Electrified Powertrains

We drive the transition to innovative propulsion and chassis technologies, to conquer leadership positions in New Business

Automotive Aftermarket



Platform business

- One-stop-shop
- Consolidated distribution



Advanced repair solutions & services

- Plug & Play solutions
- Also available for hybrids



Wheel bearings for passenger cars

- Independent of drive train
- High-performance parts

We capture growth opportunities in new markets and maintain a high margin level

Industrial

Driving innovation with systems and services

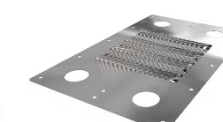
Robotics solutions



Wireless condition monitoring



Hydrogen solutions



Pushing growth in our core business

Large-size wind bearings



Rail bearings



Agricultural technologies



We further build on our profitability track record, while entering in promising new technologies

Strong Q1 2021 – Sales growth driven by China, double-digit margins in all divisions

Key messages

- 1 Q1 sales +11.2%¹, with recovery in Greater China in Automotive Technologies as main driver (+74%¹)
- 2 Q1 Gross margin with positive yoy development driven by Automotive Technologies; double-digit EBIT margin² in all divisions, supported by continuous overhead cost control
- 3 FCF³ positive with EUR 130 mn, supported by higher EBITDA and lower Capex; below PY due to restructuring cash-outs and Net Working Capital outflows
- 4 ROCE⁴ sequentially clearly up at 12.5% (Q1 20: 12.8%), supported by strict capital discipline leading to a substantial decrease of Capital Employed
- 5 Restructuring program initiated in September 2020 progressing well – Overall Net HCO reduction agreed as planned, financial impact unchanged
- 6 Guidance for 2021 upgraded – Higher sales growth¹ and EBIT margin², FCF³ more than EUR 300 mn

¹ FX-adjusted | ² Before special items | ³ Before cash in- and outflows for M&A activities | ⁴ Before special items, LTM

Sales growth¹

+11.2%

EUR 3,560 mn

Gross margin

26.9%

Q1 2020: 24.0%

EBIT margin²

11.3%

Q1 2020: 6.5%

Free Cash Flow³

EUR 130 mn

Q1 2020: EUR 137 mn

Schaeffler Group Q1 2021 – Highlights and lowlights



All regions growing in Q1, only Europe flattish; Region China with outstanding growth in all divisions, Region Americas with clear indications of a strong recovery



Increased need for individual mobility solutions leading to strong demand in all divisions



Beginning cyclical recovery in infrastructure and equipment as well as sustained high demand for renewable energy fueling orderbook



Cost and capital discipline continued, cost inflation in procurement still limited in Q1



Covid-19 pandemic situation in many European countries and even more in India still tense, requiring a clear focus on employee's health and safety



Market headwinds (especially semiconductor shortage and Covid-19 pandemic)



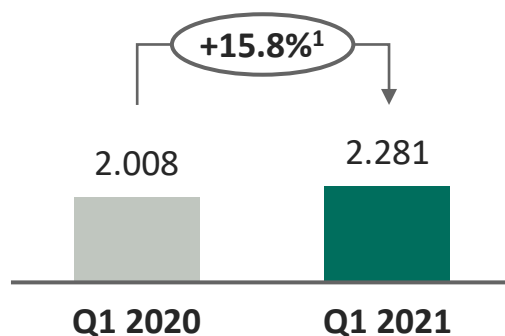
Special freights on a high level, indicating challenging supply chain situation



Cost inflation, especially for raw materials, will weigh on earnings 2021 and require proactive steering and preparedness

Automotive Technologies – Exceptional growth in China, strong mature business securing double-digit EBIT margin²

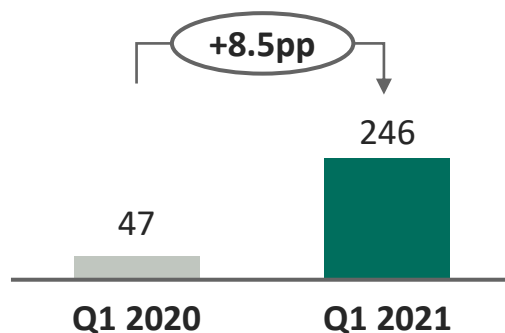
Sales
in EUR mn



Gross
margin

18.5% 24.5%

EBIT²
in EUR mn



EBIT margin²

2.3% 10.8%



Strong sales performance driven by market recovery in China; Outperformance of 180 bps impacted by base effect in China; continued above-market growth in Americas



BD E-Mobility with highest growth rate (+26.5%¹), but also Mature Business a strong growth driver in Q1



Strong result driven by market recovery, scale effects and structural cost savings while commodity price increases did not yet materially impact Q1



Semiconductor shortages affecting several end customers in Q1, implications on Q2 expected to be even stronger

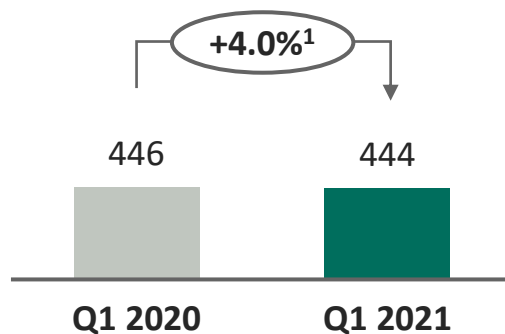


Tight supply chain situation in key commodities leading to higher input costs and freight expenses – Elevated negative impact on profitability expected for upcoming quarters

¹ FX-adjusted | ² Before special items

Automotive Aftermarket – Stable sales development, margin lower on higher product costs and ramp-up of new AKO³ in Europe

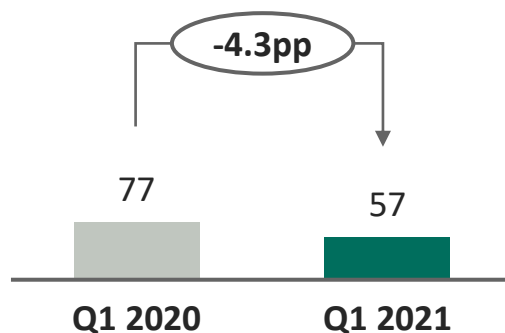
Sales
in EUR mn



Gross
margin

Quarter	Gross margin
Q1 2020	35.8%
Q1 2021	32.3%

EBIT²
in EUR mn



EBIT margin²

Quarter	EBIT margin ²
Q1 2020	17.2%
Q1 2021	12.9%



Continued strong customer demand across all regions



New E-Commerce Platform ETC in China with strong sales performance, contributing to the overall sales growth in China



Sales growth adversely impacted by limitations in material availability



Lower Gross margin due to increased internal sourcing contributions

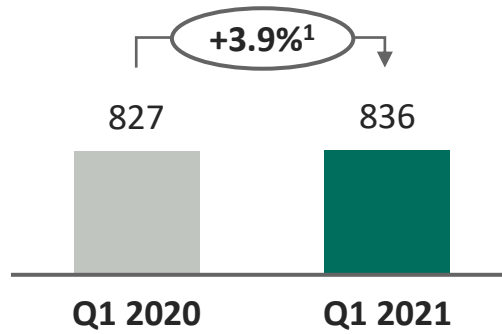


Functional expenses affected by double cost structure related to the ramp-up of the new AKO³ in Europe

¹ FX-adjusted | ² Before special items | ³ Aftermarket Kitting Operation

Industrial – Strong March signaling market recovery, high profitability

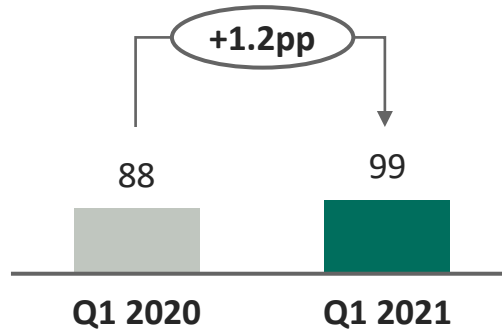
Sales
in EUR mn



Gross margin

Quarter	Gross margin
Q1 2020	31.0%
Q1 2021	30.5%

EBIT²
in EUR mn



EBIT margin²

Quarter	EBIT margin ²
Q1 2020	10.7%
Q1 2021	11.9%



First positive growth¹ after 5 quarters of decline – Driven by China and Asia/Pacific, Americas improved to flat, Europe with recovering momentum



Sectors Offroad and Two-Wheelers with highest yoy growth driven by beginning cyclical recovery and increased need for mobility



Increased volumes and good cost control leading to highest margin since 10 quarters, despite FX headwinds

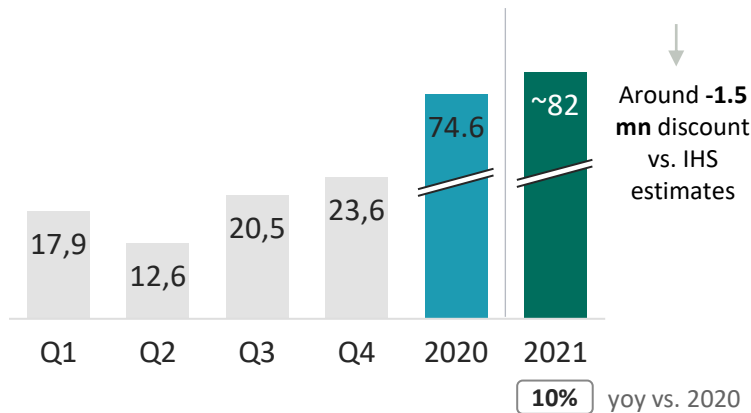


In line with expectations first signs of slowdown in Wind in China, while increasing demand for renewables in Americas

¹ FX-adjusted | ² Before special items

Our Outlook going forward – What changed in our market assumptions since March

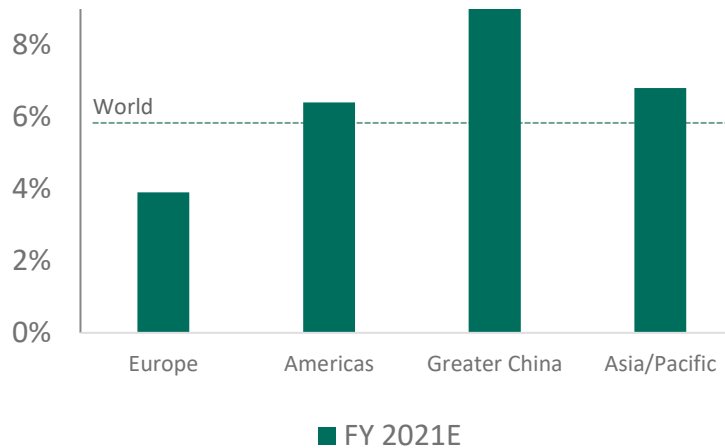
Automotive Technologies – Global LVP¹ 2021



- Schaeffler market assumption at the FY release was ~80 mn vehicles (5 mn discount to IHS, Feb. 2021)
- In the meantime, IHS reduced its market outlook to 83.5 mn vehicles (Apr. 2021) while Q1 and current trading are stronger than anticipated
- Uncertainties due to Covid-19 and supply chain disruptions remain high, therefore a certain safety discount is still needed for H2

¹ Light Vehicle Production (IHS Markit, April 2021)

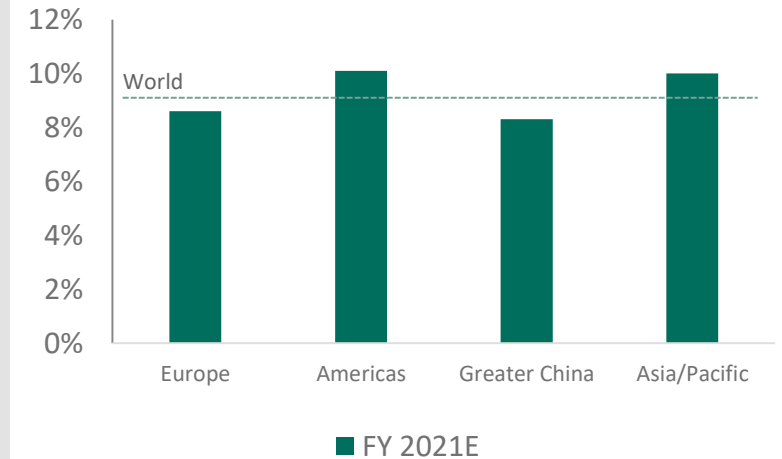
Automotive Aftermarket – GDP²



- World GDP expected to reach 6.2% growth (prior: 5.8%) in 2021 fueled by recovery in demand after the Coronavirus crisis
- Global growth forecast for FY 2021 clearly more optimistic than at beginning of year with upward revision across all regions, esp. of Americas (U.S.)

² GDP (Oxford Economics, March 2021)

Industrial – Industrial production³



- Global industrial production expected to recover and grow by 9.1% in 2021 (prior: 7.0%)
- All considered sectors forecasted to contribute positively to global growth. Greater China grows from a strong prior-year base and is set to account for one-third of the absolute global production expansion

³ Industrial production in the sectors Mechanical engineering (NACE 28), Transport equipment (NACE 30), Electrical equipment (NACE 27.1), (Oxford Economics, March 2021)

FY 2021 Guidance – Confident outlook, cautious approach

Group Guidance

	Previous Guidance FY 2021	New Guidance FY 2021
Sales growth¹	> 7%	> 10%
EBIT margin²	6 - 8%	7 - 9%
Free Cash Flow³	Around EUR 100 mn	> EUR 300 mn

¹ FX-adjusted | ² Before special items | ³ Before cash in- and outflows for M&A activities

Divisional Guidance

Automotive Technologies		Automotive Aftermarket		Industrial	
Previous	New	Previous	New	Previous	New
Outperf. 200 - 500 bps	Outperf. 200 - 500 bps	5 - 7%	6 - 8%	4 - 6%	7 - 9%
> 4.5%	> 6%	> 11.5%	> 11.5%	> 8.5%	> 9.5%

New market assumptions for Fiscal Year 2021

- Automotive Technologies: Increase of LVP of around **10%** as cautious estimate considering further possibilities of disruptions and volatility
- Automotive Aftermarket: Increase of global GDP by around **6%**
- Industrial: Increase of relevant industrial production of around **9%**